INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Airbnb

NASDAQ : ABNB · Mature-Company DCF

$91.81B mkt cap · 650M sh · $9.5B cash, zero debt · ~$9.5B net cash; ~650M diluted shares; ~$3.8B/yr buyback offsets SBC; Revenue $12.24B FY25 (+10%, decel from +40%); 38% FCF margin, $4.6B FCF; ~15x EV/FCF; Experiences/Services relaunch (2025) the swing optionality

22 July 2026 · the qualitative

$141.25

THE CENTRAL QUESTION

Does Airbnb's ~15x EV/FCF fairly price a decelerating but FCF-gushing travel network — or is the Experiences/Services optionality + international runway underpriced?

Airbnb trades at ~$79B (≈$133/sh) — ~15x EV/FCF on a $4.6B-FCF, 38%-margin two-sided travel network with ~$9.5B net cash. Growth has decelerated (+40%→+10%, guided low-mid-teens) and regulation (Barcelona, NYC) caps dense-urban supply. The mature DCF asks whether the verb-grade brand + network defend the FCF and whether Experiences/Services + international re-accelerate growth. The finding: at ~15x FCF for this quality the modal case implies modest undervaluation — the premium-to-Booking is on P/E, not on the cash flow the DCF values.

PROBABILITY-WEIGHTED EXPECTED VALUE

$183.95 expected fair value today

+30.2% vs spot $141.25

FORWARD COMPOUNDED VALUE

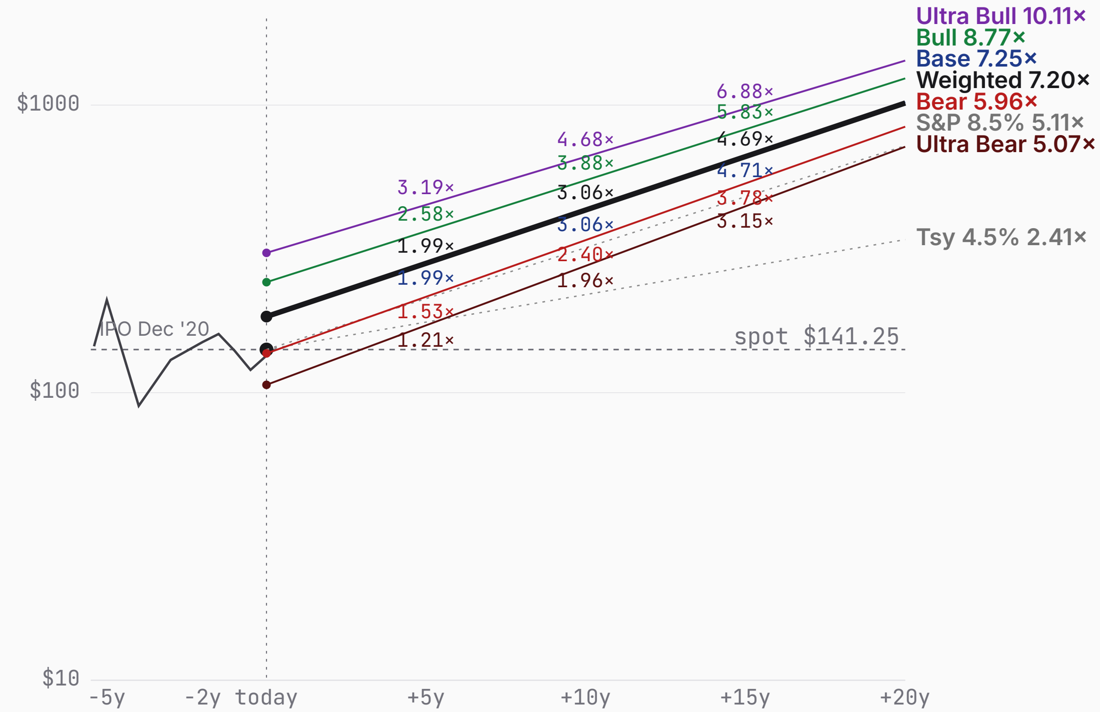
+5y	+10y	+15y	+20y
$281.78	$431.91	$662.45	$1,016.71
1.99× spot	3.06× spot	4.69× spot	7.20× spot

WEIGHTING RATIONALE

Ultra Bear 12% Regulation + maturation; ~$106 (-20%).
Bear 25% High-single growth; regulation; ~$137 (+3%).
Base 35% Low-mid-teens; Experiences ramps; ~$183 (+37%).
Bull 20% Experiences/intl re-accel; ~$242 (+82%).
Ultra Bull 8% End-to-end travel hub; ~$306 (+130%).

Bull (20%) + Ultra Bull (8%) together contribute $72.96 — 40% of the $183.95 expected value despite 28% combined probability. Today's spot ($141.25) sits 23% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$106.48	$136.97	$182.78	$242.25	$306.35
-24.6% vs spot	-3.0% vs spot	+29.4% vs spot	+71.5% vs spot	+116.9% vs spot
CAGR +3.4% WACC 10.0%	CAGR +6.2% WACC 9.5%	CAGR +9.8% WACC 9.0%	CAGR +12.4% WACC 8.5%	CAGR +15.2% WACC 8.0%
CAGR +3.4% Prob 12%	CAGR +6.2% Prob 25%	CAGR +9.8% Prob 35%	CAGR +12.4% Prob 20%	CAGR +15.2% Prob 8%
Regulation + maturation; growth stalls.	Decelerates to high-single; regulation bites.	Low-mid-teens growth; Experiences ramps.	Experiences/Services + international re-accel.	End-to-end travel hub; AI concierge.

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Airbnb scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 25% Base 35% Bull 20% Ultra Bull 8% · Weighted expected $183.95 (+30.2% vs spot)

ULTRA BEAR — $106.48

-24.6% vs spot

Probability 12%

Regulation + maturation; growth stalls.

WHY 12%

Regulation is the structural bear: NYC listings fell ~92%, Spain fined Airbnb EUR65M. 12% weight on bans + maturation capping the network.

WHAT HAPPENS

City STR bans spread (Barcelona's 2028 phase-out as the template), growth decays toward GDP-plus, and Experiences/Services never monetizes. Revenue grows only ~3%; the premium multiple de-rates toward Booking's.

DCF ~$106 (-20%) — a great FCF machine, but priced for the growth it has stopped delivering.

BEAR — $136.97

-3.0% vs spot

Probability 25%

Decelerates to high-single; regulation bites.

WHY 25%

The law-of-large-numbers + Booking competition path. 25% weight — a very plausible 'matures gracefully' outcome.

WHAT HAPPENS

Growth settles in the high-single digits as Booking out-executes in alternative accommodations and regulation nibbles supply; FCF margin holds ~37%.

DCF ~$137 (+3%) — roughly fair; the network defends the cash even as growth matures.

BASE — $182.78

+29.4% vs spot

Probability 35%

Low-mid-teens growth; Experiences ramps.

WHY 35%

Requires the guided low-mid-teens growth + modest Experiences/Services monetization. 35% as the central outcome — the network + brand are genuinely durable.

WHAT HAPPENS

The modal path: revenue compounds low-mid-teens (the 2026 guide), Experiences/Services begins to monetize, and international under-penetration carries the network at a 38-39% FCF margin.

DCF ~$183 (+37%). A verb-grade FCF machine at ~15x FCF is mispriced for this quality if growth holds in the teens.

BULL — $242.25

+71.5% vs spot

Probability 20%

Experiences/Services + international re-accel.

WHY 20%

Experiences/Services monetizes into a needle-mover + international compounds. ~20%; the relaunch is early but credible.

WHAT HAPPENS

Experiences/Services becomes a real second leg, international scales, and AI-driven conversion lifts the take rate — revenue re-accelerates to the mid-teens at a 40% FCF margin.

DCF ~$242 (+82%) — the optionality the relaunch is buying actually pays off.

ULTRA BULL — $306.35

+116.9% vs spot

Probability 8%

End-to-end travel hub; AI concierge.

WHY 8%

The full 'Airbnb everything' hub + AI concierge. ~8%, the asymmetric upside the Experiences/Services bet is really for.

WHAT HAPPENS

Airbnb becomes an end-to-end travel/lifestyle platform (homes + services + experiences + AI concierge), expanding TAM well beyond rentals at peak network margins.

DCF ~$306 (+130%) — the platform vision fully realized; ~8% probability.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

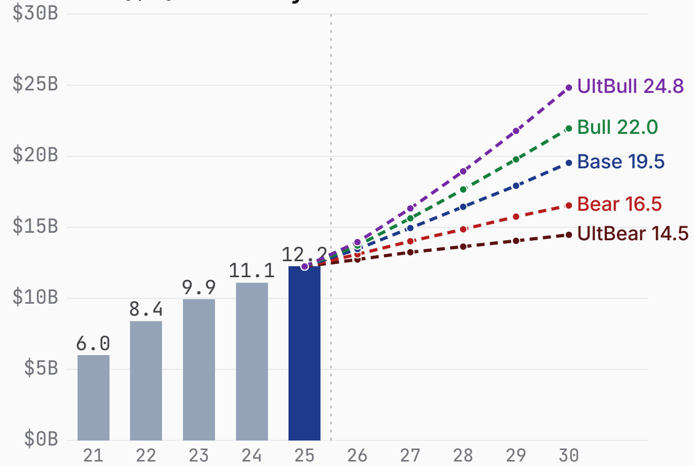
Airbnb business snapshot

22 July 2026 · the snapshot

Bear $136.97 Base $182.78 Bull $242.25

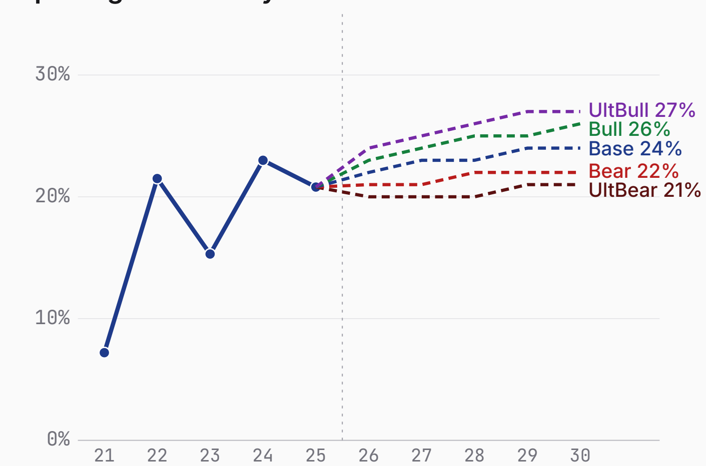
FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 10-K (Feb'26)

Revenue ($B) — history + scenarios to FY30

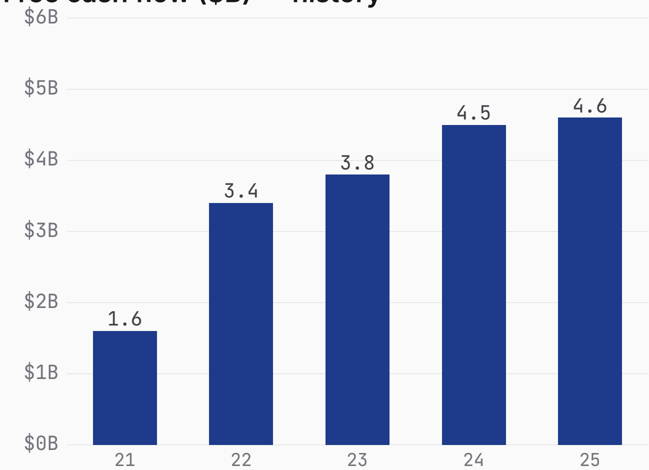


Revenue by segment ($B)

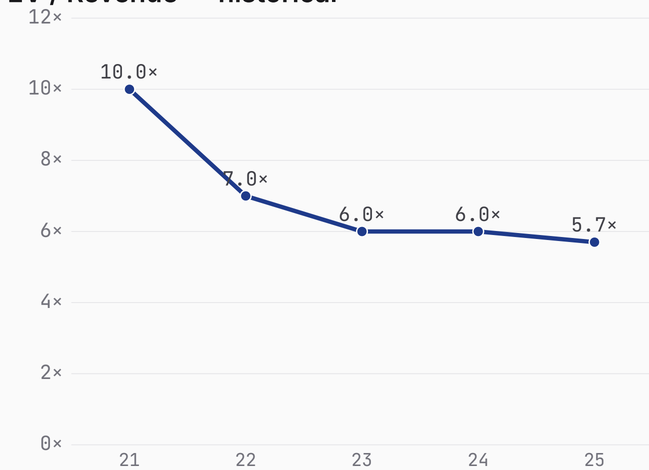
Op margin — history + scenarios



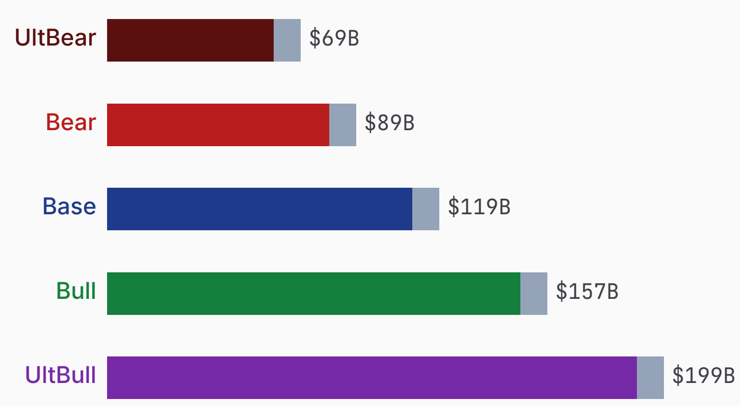
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: Airbnb FY2025 10-K (revenue $12.24B, FCF $4.6B/38%, ~$9.5B net cash, GBV $91.3B), Q1'26 results. Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin (use ~38% structural, not the seasonal Q1 64%); Gordon terminal. EV/FCF vs Booking/Expedia.

Airbnb 7 Powers · the moat, scored

Bear $136.97 Base $182.78 Bull $242.25

Arena. Travel / lodging + experiences — Airbnb (two-sided STR marketplace, ~8M listings, verb-grade brand) vs Booking, Expedia/Vrbo, Google Travel, hotels; defending a network + brand Power as growth matures and regulation tightens.

POWER AUDIT
dominant-power durability: medium-high

POWER AUDIT · 7 POWERS

Scale Economies	2/3	Fixed platform/trust-&-safety/marketing spread over $91B GBV → best-in-class ~38% FCF margin.
Network Economies · thesis leans here	3/3	The dominant Power: two-sided host↔guest density; more hosts → more guests → more hosts.
Counter-Positioning	1/3	Was the disruptor vs hotels; incumbents (Booking, Vrbo) have matched the STR model.
Switching Costs	1/3	Weak-medium: hosts multi-list; guests are promiscuous.
Branding	3/3	'Airbnb' is a verb; direct-traffic advantage lowers CAC vs OTAs — durable demand-side Power.
Cornered Resource	1/3	No durable exclusive asset; supply is replicable.
Process Power	2/3	Matching/pricing/trust-and-safety execution at scale.

PEER SET

Booking Holdings — 13% gr · 36% mgn · ~15.6x P/E
Larger GBV; pushing into alternative accommodations (>8M listings, growing faster than ABNB there).

Expedia / Vrbo — 6% gr · 15% mgn · ~11.8x P/E
#3 OTA; Vrbo the direct STR competitor.

Google Travel — · n/a
Disintermediation risk at the search layer.

Hotels / chains — 5% gr · varies
Direct booking + loyalty; the alternative for urban stays.

THREAT VECTORS · FALSIFIERS

Network Economies · Booking in alternative accommodations
falsifier: Booking out-grows ABNB in alt-accommodations bookings for 2+ years.

Branding · Google Travel disintermediation
falsifier: Paid-search dependence rises and direct-traffic share falls.

Scale Economies · STR regulation
falsifier: A flagship metro structurally bans STRs, or registration regimes materially shrink supply.

COMPETITIVE READ

Airbnb's network-economies + verb-grade brand are genuinely durable on the demand side (direct traffic, two-sided liquidity), and the ~38% FCF margin is best-in-class. The terminal-value debate is not a competitor out-networking them — it's regulation (dense-urban supply caps) + growth maturation. At ~15x EV/FCF the cash flow is priced cheaply for the quality; the Experiences/Services relaunch is the unpaid-for optionality, and the sign hinges on whether growth holds in the teens or decays to GDP-plus.

Airbnb show your work

Bear $136.97 Base $182.78 Bull $242.25 · Weighted $183.95 (+30.2%)

ULTRA BEAR $106.48

ASSUMPTIONS

5y revenue CAGR (%)	+3.4
Year-5 op margin (%)	21.0
WACC (%)	10.0
Terminal growth (%)	2.0
Terminal FCF ($B)	$5.21B
Starting revenue ($B)	12.24
Scenario probability (%)	12

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	12.73	+20%	+4.58	+4.17
FY27	13.24	+20%	+4.77	+3.94
FY28	13.64	+20%	+4.91	+3.69
FY29	14.05	+21%	+5.06	+3.45
FY30	14.47	+21%	+5.21	+3.23

Σ PV explicit FCF	+18.48
+ PV terminal (g 2.0%)	41.23

EQUITY BUILD · $B & PER SHARE

Operating EV	$59.71B
+ Cash & investments	$9.50B
= Equity value	$69.21B
FY30 shares (M)	650
= Expected per share	**$106.48**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$171.49	$276.18	$444.79	$716.34
1.21×	1.96×	3.15×	5.07×

BEAR $136.97

ASSUMPTIONS

5y revenue CAGR (%)	+6.2
Year-5 op margin (%)	22.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$6.28B
Starting revenue ($B)	12.24
Scenario probability (%)	25

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.10	+21%	+4.85	+4.43
FY27	14.01	+21%	+5.18	+4.32
FY28	14.85	+22%	+5.50	+4.19
FY29	15.75	+22%	+5.98	+4.16
FY30	16.53	+22%	+6.28	+3.99

Σ PV explicit FCF	+21.09
+ PV terminal (g 2.5%)	58.44

EQUITY BUILD · $B & PER SHARE

Operating EV	$79.53B
+ Cash & investments	$9.50B
= Equity value	$89.03B
FY30 shares (M)	650
= Expected per share	**$136.97**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$215.62	$339.44	$534.36	$841.22
1.53×	2.40×	3.78×	5.96×

BASE $182.78

ASSUMPTIONS

5y revenue CAGR (%)	+9.8
Year-5 op margin (%)	24.0
WACC (%)	9.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$7.62B
Starting revenue ($B)	12.24
Scenario probability (%)	35

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.46	+22%	+5.12	+4.69
FY27	14.95	+23%	+5.68	+4.78
FY28	16.44	+23%	+6.41	+4.95
FY29	17.92	+24%	+6.99	+4.95
FY30	19.53	+24%	+7.62	+4.95

Σ PV explicit FCF	+24.33
+ PV terminal (g 3.0%)	84.98

EQUITY BUILD · $B & PER SHARE

Operating EV	$109.31B
+ Cash & investments	$9.50B
= Equity value	$118.81B
FY30 shares (M)	650
= Expected per share	**$182.78**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$281.23	$432.71	$665.77	$1,024.37
1.99×	3.06×	4.71×	7.25×

BULL $242.25

ASSUMPTIONS

5y revenue CAGR (%)	+12.4
Year-5 op margin (%)	26.0
WACC (%)	8.5
Terminal growth (%)	3.5
Terminal FCF ($B)	$8.78B
Starting revenue ($B)	12.24
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.71	+23%	+5.21	+4.80
FY27	15.63	+24%	+6.09	+5.18
FY28	17.66	+25%	+7.06	+5.53
FY29	19.78	+25%	+7.91	+5.71
FY30	21.95	+26%	+8.78	+5.84

Σ PV explicit FCF	+27.06
+ PV terminal (g 3.5%)	120.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$147.96B
+ Cash & investments	$9.50B
= Equity value	$157.46B
FY30 shares (M)	650
= Expected per share	**$242.25**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$364.26	$547.72	$823.59	$1,238.39
2.58×	3.88×	5.83×	8.77×

ULTRA BULL $306.35

ASSUMPTIONS

5y revenue CAGR (%)	+15.2
Year-5 op margin (%)	27.0
WACC (%)	8.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$10.18B
Starting revenue ($B)	12.24
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.95	+24%	+5.44	+5.04
FY27	16.33	+25%	+6.53	+5.60
FY28	18.94	+26%	+7.76	+6.16
FY29	21.78	+27%	+8.93	+6.56
FY30	24.83	+27%	+10.18	+6.93

Σ PV explicit FCF	+30.29
+ PV terminal (g 3.5%)	159.34

EQUITY BUILD · $B & PER SHARE

Operating EV	$189.63B
+ Cash & investments	$9.50B
= Equity value	$199.13B
FY30 shares (M)	650
= Expected per share	**$306.35**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$450.13	$661.39	$971.79	$1,427.88
3.19×	4.68×	6.88×	10.11×

Airbnb People · Opportunity · Context · Deal

Bear $136.97 Base $182.78 Bull $242.25

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Brian Chesky · founder-led — 17 yrs in seat

13.7% insider ownership

HIGH key-person risk

Capital allocation (realized)
Disciplined capital return + organic build: FY2024 buybacks ~$3.4B, a fresh $6B authorization (~$6.6B remaining) steadily cutting the share count, against ~$2.1B product-development reinvestment. Build-not-buy (no transformative M&A); no dividend. SBC ~$1.4B partly offsets the buyback.

Incentive alignment
$1 salary, no cash bonus; paid via a 2020 ten-year performance RSU (~12M units) that vests only against escalating share-price hurdles (Tranche 2 vested Nov 2024). Chesky has pledged to donate the net proceeds of his CEO equity to charity.

GOVERNANCE FLAGS

- multi-class super-voting (Class B = 20 votes) → founder bloc ~79% voting control (binding agreement)
- CEO + Chairman combined (lead independent director)
- fully-independent board committees; classified board
- sunset: Class B converts by 2040 (or 9 months after a founder's death / disability)

> PEOPLE READ
> Founder-CEO on a $1 salary, paid only if the stock clears price hurdles, returning capital through large buybacks — strong alignment and capital discipline, with a 2040 sunset on the control. The offset is a ~79% founder voting bloc + combined CEO/Chair concentrating control well above the ~14% economic stake.

THE FOUR LEGS

People ●●●●○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator (ABNB 6.17)

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the +38% finding), then position-sized.

Airbnb supporting analysis · disclaimers · glossary

Bear $136.97 Base $182.78 Bull $242.25

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~15x EV/FCF, 38% FCF margin.**
A verb-grade two-sided network throwing off $4.6B FCF at a 38% margin — priced like a maturing OTA, not a durable platform.

2 **$9.5B net cash, working-capital-positive.**
Guest pre-payments fund the float → structurally high FCF conversion; fortress balance sheet, ~$3.8B/yr buyback.

3 **Network economies + a verb brand.**
'Airbnb' is the default for alternative accommodations; direct traffic lowers CAC vs OTAs — the two-sided liquidity moat.

4 **Experiences/Services optionality is free.**
The 2025 relaunch expands TAM beyond rentals; unmonetized today, so any traction is upside the multiple doesn't pay for.

5 **International under-penetrated.**
Latin America / Asia-Pacific grow faster than core — a multi-year runway the US-centric view misses.

FALSIFICATION TRIGGERS

Bull validation
revenue re-accelerates to mid-teens · Experiences/Services monetizes into a reported needle-mover · take rate rises · international outgrows core

Bear validation
growth decays to high-single · major-metro bans spread · Booking out-grows ABNB in alternative accommodations · multiple de-rates toward peers

Reframe needed
if a flagship market structurally bans STRs or Google disintermediates search, re-rate the network durability + terminal multiple

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Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GBV / take rate — Gross booking value (~$91B FY25) x ~13.4% take = revenue; the two metrics that drive the model.

FCF margin — Free cash flow / revenue (~38% structural; ignore the seasonal Q1 ~64% float build) — the mature-DCF lever.

Network economies — Helmer Power: more hosts → more guests → more hosts; the two-sided liquidity flywheel that is Airbnb's core moat.

STR regulation — Short-term-rental bans/registration (Barcelona 2028 phase-out, NYC -92%) — the structural cap on dense-urban supply.

Experiences / Services — The 2025 relaunch (locally-hosted activities + in-stay services); the TAM-expanding optionality, unmonetized today.